



DENVER NUGGETS · 2026 OFFSEASON

How the Denver Nuggets Can Improve This 2026 Offseason

A data-driven roster analysis using SQL, Basketball Reference advanced statistics, and cap modeling

By Seymour Thomas · USC Marshall School of Business · July 2026

I. Executive Summary

Following a disappointing exit to the Minnesota Timberwolves, the Denver Nuggets enter the 2026 offseason as a luxury tax team with \$191.6M in committed payroll against a \$154.6M salary cap — \$37M over the cap line. As Nikola Jokic's extension looms over the heads of the front office, they must not only capitalize on his prime, but also plan strategically for the future.

This analysis uses a custom-built SQLite relational database, populated with 2025-26 Basketball Reference advanced statistics and HoopsHype salary data, to answer one question: how should Denver allocate its limited remaining roster capital?

The core finding is that Denver's positional value is deeply uneven. The center position produces 8.9 average win shares — a metric driven almost entirely by Nikola Jokic — while the power forward and small forward groups average just 1.2 and 1.6 win shares respectively, both with negative Box Plus/Minus. The team cannot improve at center. It must improve the wings.

Given the cap constraints, Denver's available tools are the Non-Taxpayer MLE (~\$12.8M), the Bi-Annual Exception (~\$4.5M), and veteran minimum contracts (~\$3.6M). Max contracts are not available. This memo recommends three external signings and a priority re-sign list for Denver's nine own free agents.



II. Cap Situation & Financial Constraints

Denver has zero cap space. At \$191.6M in payroll, the Nuggets are \$37M over the cap and firmly in luxury tax territory. Jokic (\$55.2M), Murray (\$46.4M), and Gordon (\$22.8M) alone account for \$124.5M — 65% of total payroll. There is no mechanism to clear cap space without a major trade.

Cap Metric	Amount	Implication
2025-26 Salary Cap	\$154,647,000	League threshold
Current Payroll	\$191,600,929	Over cap by \$37M — no space available
Luxury Tax Threshold	~\$187,876,000	Denver is a tax payer — penalties apply
Non-Tax MLE	~\$12,800,000	Primary external signing tool
Bi-Annual Exception	~\$4,500,000	Secondary tool — once every 2 years
Veteran Minimum	~\$3,634,153	Depth signings — unlimited

III. Positional Value Analysis

The following table is the direct output of a SQL GROUP BY query joining the **players**, **player_stats**, and **contracts** tables. It shows exactly where Denver's roster capital is producing value — and where it is not.

Position	# Players	Avg Win Shares	Avg PER	Avg BPM	Assessment
PF	8	1.20	15.65	-0.75	Weakest — priority upgrade
SF	8	1.60	12.00	-0.45	2nd weakest — depth needed
SG	12	2.52	11.94	-1.78	Below avg BPM
PG	6	3.13	12.80	-1.67	Murray elite; depth poor
C	4	8.90	27.15	+7.10	Dominant — Jokic effect

Key finding: PF and SF both post negative BPM, meaning depth players at those positions are net liabilities on the floor. The priority is quality over quantity at forward.



IV. Current Roster Value Ranking (\$/Win Share)

Players ranked by cost-per-win-share. Lower numbers = greater value per dollar of salary.

Player	Pos	Salary	Win Shares	PER	BPM	\$/Win Share
Tim Hardaway Jr.	SG	\$3,654,153	4.4	13.5	-0.7	\$830,489
Bruce Brown	SG	\$3,080,921	2.9	10.8	-2.4	\$1,062,387
Christian Braun	SG	\$4,921,797	3.0	12.6	-1.2	\$1,640,599
Peyton Watson	SF	\$4,356,476	2.6	14.3	-1.2	\$1,675,568
Julian Strawther	SG	\$2,674,148	1.3	12.5	-2.3	\$2,057,037
Jalen Pickett	SG	\$2,221,677	1.0	10.3	-2.3	\$2,221,677
Jonas Valanciunas	C	\$10,395,000	2.9	22.0	0.0	\$3,584,483
Nikola Jokic	C	\$55,224,526	14.9	32.3	+14.2	\$3,706,344
Jamal Murray	PG	\$46,394,100	9.5	21.8	+4.1	\$4,883,589
Aaron Gordon	PF	\$22,841,455	3.2	18.5	+1.7	\$7,137,955
Zeke Nnaji	PF	\$8,177,778	0.9	10.3	-3.5	\$9,086,420

Notable: Jokic at \$3.7M/WS is among the most efficient supermax contracts in NBA history. Tim Hardaway Jr. (\$830K/WS) is the best value player on the roster. Zeke Nnaji (\$9.1M/WS) is the clearest overpay on the books.

V. External Free Agent Targets

Six candidates pre-screened for cap tool fit and positional need, then ranked by cost-per-win-share from the SQL analysis query.

Player	Pos	G	Win Shares	PER	BPM	Est. Salary	\$/WS	Cap Tool
Deandre Ayton	C	72	6.2	18.2	-0.9	\$4,500,000	\$725,806	BAE
Gary Payton II	SG	73	3.5	18.3	+1.9	\$3,634,153	\$1,038,329	Vet Min
Jusuf Nurkic	C	41	1.5	16.4	+1.1	\$3,634,153	\$2,422,769	Vet Min
Matisse Thybulle	SG	30	1.3	14.5	+6.1	\$3,634,153	\$2,795,502	Vet Min
Jordan McLaughlin	PG	44	0.6	12.0	+2.5	\$2,874,436	\$4,790,727	Vet Min
Coby White	PG	21	1.3	20.1	+2.9	\$12,000,000	\$9,230,769	MLE

Recommendation 1 — Gary Payton II | Veteran Minimum



Gary Payton II · Golden State Warriors · Photo: AP Photo/José Luis Villegas

GPII is the highest-priority external signing. At \$1.04M per win share on a veteran minimum, he is the second-best value target — and the only target with a positive BPM (1.9) at minimum cost. Denver's SG group produced -1.78 average BPM; adding an above-average two-way guard immediately addresses this. His 73 games in 2025-26 confirms durability. Jokic's offensive gravity means GPII needs to contribute zero offensively to justify his spot.

Recommendation 2 — Coby White | Non-Taxpayer MLE (~\$12M)



Coby White · Charlotte Hornets · Photo: Jim Dedmon/Imagn Images

White is the most important external signing despite ranking last on \$/WS. Context matters: his 21 games (20.1 PER, 2.9 BPM) were injury-limited. His projected 82-game win share of 5.1 would bring his \$/WS down to ~\$2.4M — competitive with any minimum-level target. Denver's backup PG situation is genuinely dangerous: Murray has a documented injury history, and the team currently has no viable starter-level backup. White solves this.

Recommendation 3 — Matisse Thybulle | Veteran Minimum



Matisse Thybulle · Portland Trail Blazers · Photo: AP Photo/Amanda Loman

Thybulle's 6.1 BPM is the highest of any target — meaning he makes Denver measurably better defensively when on the floor. His role would be narrow: lock down opposing wings in playoff situations. At minimum salary, this is low-risk insurance.

VI. Denver's Own Free Agents

Nine Nuggets players hit free agency this summer. Priority informed by \$/WS analysis and cap tool constraints.

Player	Pos	FA Type	Prev Salary	Est. New Deal	Priority	Reasoning
Peyton Watson	SF	RFA	\$4,356,476	~\$3-4M	HIGH	RFA control, age 23. Match any offer.
Tim Hardaway Jr.	SG	UFA	\$3,634,153	Vet Min	MED	Best \$/WS on roster. Min only.
Bruce Brown Jr.	SG	UFA	\$3,080,921	Vet Min	MED	Championship pedigree. Min only.
Jalen Pickett	PG	OPT	\$2,221,677	~\$2.2M	LOW	-2.3 BPM. Let walk if MLE available.
Tyus Jones	PG	UFA	\$814,552	Min	LOW	Backup depth only if White unavailable.
David Roddy	PF	RFA	\$3,246,472	Two-Way	LOW	-0.7 BPM. Two-way tender only.
Spencer Jones	SF	RFA	\$623,967	Two-Way	LOW	Developmental. Two-way only.
Curtis Jones	G	RFA	\$0	Two-Way	LOW	Camp invite / two-way only.
KJ Simpson	PG	RFA	\$0	Two-Way	LOW	Developmental. Two-way only.

VII. The LeBron James Argument



LeBron James · Los Angeles Lakers · UFA · Photo: Kirby Lee / Reuters

Of course, we would not be remiss to address the elephant that looms over many teams' offseason plans — the LeBron James proposal. Despite his age, LeBron's value as a secondary scorer and facilitator behind Jokic and Murray would help alleviate some of the pressure opposing teams put on them during clutch time. With an already competent supporting cast around them, it may be worth considering the NBA's all-time leading scorer if they manage to find an agreement that works around their financial timetable.

Practically speaking, Denver cannot sign LeBron outright — they have no cap space and no MLE large enough for a player of his market value (\$50.7M AAV). Any pursuit would require a sign-and-trade framework.

VIII. Conclusion & Recommended Action Plan

Denver's 2026 offseason is not about transformation — it is about targeted reinforcement of a championship-caliber core. Three clear priorities emerge from the SQL analysis:

1	Re-sign Peyton Watson (RFA)	Non-negotiable. Best value SF on roster; Denver holds matching rights.
2	Sign Gary Payton II — Vet Min	Highest defensive impact per dollar of any available free agent. 1.9 BPM.
3	Use MLE on Coby White (~\$12M)	Addresses the most dangerous roster vulnerability: backup PG depth behind Murray.

Combined, these three moves cost approximately \$19.4M in new commitments — within the MLE plus two minimum contract framework. They directly address the two weakest positional groups (PF/SF at -0.75 and -0.45 BPM) and the backup PG hole that has historically been Denver's playoff Achilles heel.

Methodology: All rankings were produced by SQL queries joining the players, player_stats, and contracts tables in a custom-built SQLite database (nba_contracts.db). Data sourced from Basketball Reference advanced stats (2025-26 season) and HoopsHype/Spotrac salary data. Analysis conducted as part of a portfolio project at the University of Southern California Marshall School of Business.